

Microeconomics Commentary

Candidate number: 006318-0007

Article Title: Minimum price of alcohol in Scotland rises by 30%

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Unit of the syllabus to which the article relates: Microeconomics

Key concept being used: **Intervention**

Article 1:

Minimum price of alcohol in Scotland rises by 30%

30 September 2024. PA Media



The minimum price at which alcohol can be sold in Scotland has risen by 30% in an attempt to keep up with inflation over the past six years. The minimum unit price (MUP) has not changed since it was set at 50p per unit of alcohol when it was first introduced in May 2018. It has now increased to 65p per unit, meaning a typical 12.5% bottle of wine cannot be sold for less than £6.09 and a can of lager will be at least £1.30.

MUP is not a tax to generate income for the government. Instead, it aims to reduce the availability of cheap alcohol in shops by setting a minimum price.

For example, a bottle of vodka will now cost at least £17.06 in Scotland - about £5 more than many supermarkets are selling it for in England, where there is no minimum pricing.

Scotland was the first country in the world to set a minimum price at which alcoholic drinks can be sold when the policy was introduced in May 2018. The policy was mainly aimed at strong cheap alcohol sold in shops and supermarkets. Before it was introduced, super strength cider (7.5%) was sold in two litres bottles for as little as £1.99.

After the legislation was introduced that same two litre bottle could not be sold for less than £7.50. Under the new 65p minimum unit price it will now be £9.75.

A Public Health Scotland study published in June last year found the MUP scheme had helped to reduce alcohol-related health inequalities.

Based on comparisons with England, it estimated there were 13.4% fewer deaths related to alcohol than would have happened without the policy, as well as 4.1% fewer hospital admissions.

However, the number of people in Scotland whose death was caused by alcohol remains at a high level, with the figures for 2023 showing the largest number of deaths in 15 years.

In September last year, a study by Sheffield University suggested the policy had become less effective due to inflation. The report found the original 50p price had been reduced by inflation to the equivalent of just 41p. It also said heavier drinkers increased their alcohol consumption during the Covid pandemic, cancelling out some of the beneficial impacts. The increase in the MUP was announced in February.

Alcohol harm

Some groups representing the off-licence trade have previously expressed opposition to any increase, but alcohol recovery charities have been supportive.

GMB Scotland, representing members across the drinks industry, warned that the policy was already risking jobs and investment and questioned its "unproven" health benefits.

The Federation of Independent Retailers warned that raising the minimum price could put retailers at an increased risk of alcohol being stolen.

Health Secretary Neil Gray said he was confident the scheme had saved hundreds of lives. He said the price increase was due to inflation.

"Obviously by increasing it we would hope we would see a further improvement in the situation alongside the other aspects that we are looking at, including alcohol advertising and marketing," Gray said. Willie Rennie of the Scottish Liberal Democrats backed the move. He said: "The original impact of minimum pricing has decreased over time as inflation has eaten away at the effectiveness of the policy.

"More than 20 people a week in Scotland die due to alcohol misuse. The opponents of minimum pricing need to explain what alternatives they are proposing to tackle the pressures that this imposes on our health and justice systems."

Carol Mochan, Scottish Labour's spokeswoman for Public Health, said frontline alcohol and drug services needed "proper resourcing" from the SNP to be effective.

She added: "Scottish Labour will consider any evidence-based plans to improve public health, but the SNP must acknowledge that there is no one silver bullet."

Not a 'miracle cure'

Scottish Greens health spokeswoman Gillian Mackay said MUP should be "an important part" of the nation's health strategy but wider work was needed as it was not a "cure-all".

However, Scottish Conservative health spokesman Dr Sandesh Gulhane said MUP was not a "miracle cure" and "simply punishes responsible drinkers".

Graeme Callander, from the WithYou alcohol support group, said it was "unbelievable" that the money raised goes to retailers and the alcohol industry.

"This revenue could make a real difference if it was instead directed towards improving and increasing the availability of alcohol support services - because these services will ultimately help to save lives," he said.

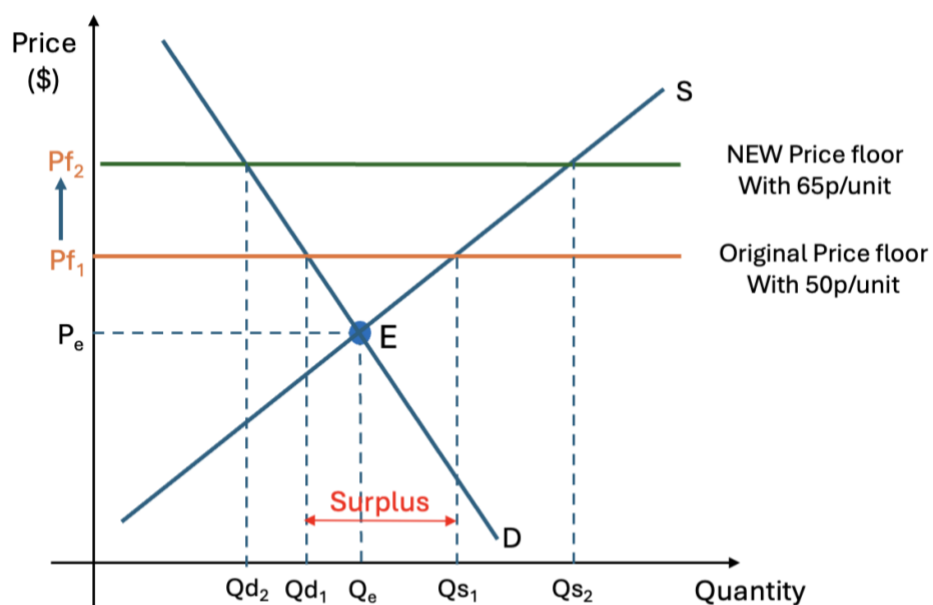
Scottish Health Action on Alcohol Problems (Shaap) and Alcohol Focus Scotland (AFS) said the minimum unit price had to be increased annually to prevent "cheaper alcohol that causes the most harm" from becoming more affordable over time.

Both groups also said the government needed to do more than just MUP if it is to tackle the "public health emergency" of alcohol harms, and criticized it for "dragging its feet" over alcohol marketing reforms. Alison Douglas, chief executive of AFS, said her charity was calling for an alcohol harm prevention levy on alcohol retailers, which she said the Fraser of Allander Institute estimated could raise as much as £57m a year to invest in alcohol treatment services.

Commentary one:

Alcohol, as a demerit good, is over-consumed. The aim of introducing minimum unit pricing (MUP) is to reduce alcohol-related harm by making alcohol less affordable. According to this article, the Scottish government has implemented a 30% increase in MUP for alcohol to keep up with inflation in Scotland and mitigate the spillover effects of alcohol consumption. The policy aims to reduce the availability of cheap alcohol and has reportedly led to a 13.4% decrease in alcohol-related deaths. This article aims to explore the impact of this government intervention on the market and its implications.

Figure 1. Price floor on the Scottish alcohol market

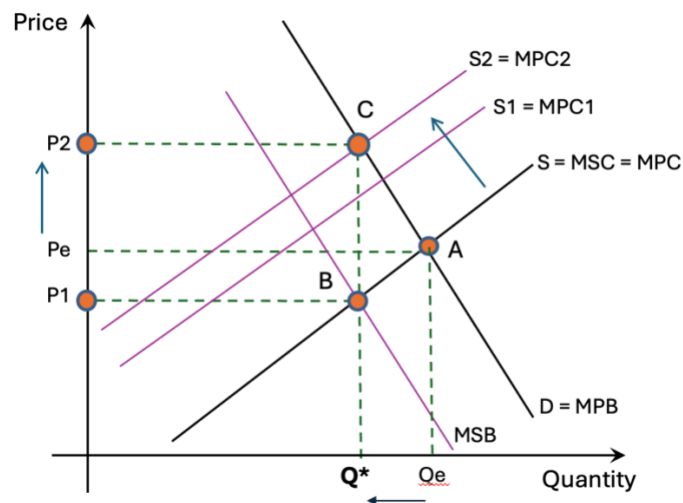


MUP creates an effective price floor as shown in Figure 1. Point E represents the market equilibrium without government intervention, where the socially optimal price is P_e and the quantity traded is Q_e . With MUP at 50p/unit, a market surplus emerges ($Q_{s1} - Q_{d1}$), and consumption falls from Q_e to Q_{d1} , which fulfils the purpose of imposing a price floor on demerit goods. The recent increase in MUP from 50p to 65p, shown as a price increase from P_{f1} to P_{f2} in

Figure 1, reduces the quantity transacted from Q_{d1} to Q_{d2} , further curbing alcohol consumption in Scotland.

Being a demerit good with inelastic PED, alcohol is overconsumed partly due to its addictive nature. To internalise the negative externality generated through alcohol consumption, the Scottish government intervened in the alcohol market by increasing MUP from 50p to 65p as an attempt to decrease domestic consumption of alcohol.

Figure 2. Intervention to internalise the negative externality of consumption



The introduction of MUP has the same intention as the excise tax: the Scottish government aims to reduce alcohol consumption to lower the negative consumption externality on society. As shown in Figure 2, the market equilibrium was at point A before the introduction of MUP in 2018. The MSB curve sits below the MPB because of the adverse effect of alcohol consumption on third parties. When MUP is set at 50p, MPC shifts to S_1 . Following the increase in MUP to 65p, the MPC shifts further to the left to S_2 , reducing the quantity transacted at Q^* and effectively internalizing the negative externality; the price is pushed to P_2 . This is one of the common government interventions to address market failures. **This policy aims to reduce the social costs of alcohol misuse, including pressure on healthcare systems and increased crime.**

These external costs justify government intervention to move consumption closer to the socially optimal level.

However, this method of intervention is not effective, as the decrease in quantity demanded for alcohol is very low according to the article, even with the price rise due to inelastic PED of alcohol, as alcohol-related deaths in Scotland remain at a high level, with the figures in 2023 showing the largest number. This might be due to higher income levels in Scotland. Additionally, the policy's effectiveness depends on the availability of substitutes. Consumers may switch to illegal alcohol markets or purchase alcohol in neighboring regions without minimum pricing. Therefore, the long-run effectiveness of the MUP's impact could be reduced. As the proportion of income spent on alcohol is smaller than that on other, more expensive household items, due to its addictive nature, consumers might not be as sensitive as the government expected them to be.

The alcohol industry does not welcome this government intervention because the surplus between the quantity supplied and the quantity demanded widens from $(Q_{s1} - Q_{d1})$ to $(Q_{s2} - Q_{d2})$ in Figure 1. Firms with higher production costs will be forced to exit the market due to inefficiency, potentially leading to higher unemployment in the industry.

Unlike the excise tax on alcohol, the MUP does not benefit the government financially, as the higher sales price consumers must pay is passed directly to retailers and producers. The government might see an increase in VAT or business tax as a result.

Other intervention measures can serve as supplements to enhance the efficacy of Minimum Unit Pricing (MUP). Investing in educational campaigns may be one of the most effective intervention options. Launching educational initiatives about the risks of excessive alcohol consumption to raise awareness and promote responsible drinking can influence alcohol consumption more effectively. Furthermore, the government could also place images of the harmful effects of over-drinking on alcohol containers to remind consumers of their choices.

In conclusion, raising the MUP for alcohol in Scotland aims to improve public health by mitigating the harms associated with alcohol consumption. While it may help reduce consumption, its effectiveness is quite limited, especially among addicted drinkers who are less

sensitive to price changes as they prioritise purchasing alcohol over goods that may be less harmful. The Scottish government should consider investing in educational campaigns and exploring additional strategies to decrease alcohol consumption.

Macroeconomics Commentary

Candidate number: 006318-0007

Article Title: India's central bank delivers sharp rate cut as growth and inflation fall

Article Source: <https://www.bbc.com/news/articles/c62vdq6g945o>

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India's central bank delivers sharp rate cut as growth and inflation fall

BBC News, London • [@Nik_inamdar](#)



India's inflation has fallen to a six-year low led by food prices going down

India's central bank has lowered interest rates by a deeper-than-expected half a percent - the third cut in a row amid falling inflation and lower growth in Asia's third largest economy.

It also increased the amount of liquidity - or supply of money - available in the system.

The repo rate - the level at which the central bank lends money to commercial banks, influencing borrowing costs for home and car loans - now stands at 5.5%, the lowest in three years.

Explaining the rationale for the cut, RBI governor Sanjay Malhotra said growth is "lower than our aspirations" and the bank felt it was "imperative to stimulate domestic consumption and investment" amid rising global uncertainties.

The rate cut comes on the back of two previous reductions in April and February.

Data released last week showed that India's economy grew by 6.5% in the previous financial year ending March.

The country remains the world's fastest expanding major economy, although growth has sharply dropped from the 9.2% high recorded in financial year 2023-24.

Meanwhile, retail prices in India have slowed faster than expected to 3.16% in April - the lowest in six years - and below the RBI's 4% target, driven down by falling food prices.

RBI has now forecast lower inflation than earlier projected for the year ahead.

But the central bank has changed its monetary policy stance from "accommodative" to "neutral", indicating that further rate cuts will depend on how India's growth-inflation dynamic evolves.

However, fuller granaries due to a better-than-expected monsoon, weaker prices of commodities like oil - of which India is a net importer - as well as a strong currency are likely to help keep India's inflation in check in the months ahead, allowing the RBI to keep rates low.

Lower borrowing costs could have a positive growth impact due to improved purchasing power for households, lower input costs for companies and lower debt servicing costs for the government.

They will also help homebuyers and a struggling real estate sector.

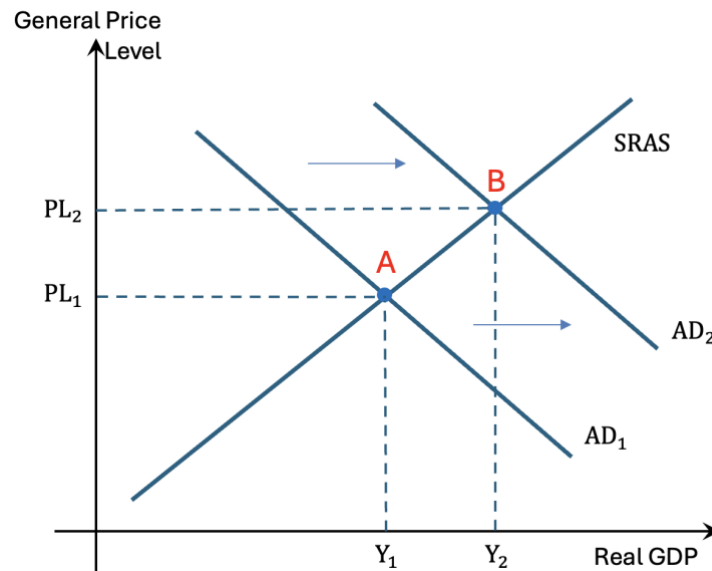
"This effectively lowers the cost of borrowing, making home loan EMIs [mortgage payments] easier on the pocket and thereby directly improving affordability for buyers. This can potentially boost demand in the Indian real estate sector, especially in affordable and mid-income segments. Affordable housing faced the sharpest pandemic fallout, with sales and new launches shrinking in the top 7 cities," Anuj Puri, chairman of ANAROCK Group, said.

Indian markets rallied sharply post the rate cut announcement.

Commentary two:

To combat a slowing economy, the RBI (Reserve Bank of India) has adopted an **expansionary monetary policy**, which aims to increase aggregate demand, boost economic growth, improve **economic well-being**, and reduce unemployment. A lowered interest rate decreases firms' production costs, which translates into higher profits and lower prices that benefit firms and consumers. This commentary explains the impact of adopting this policy, utilising relevant macroeconomic theory and diagrams.

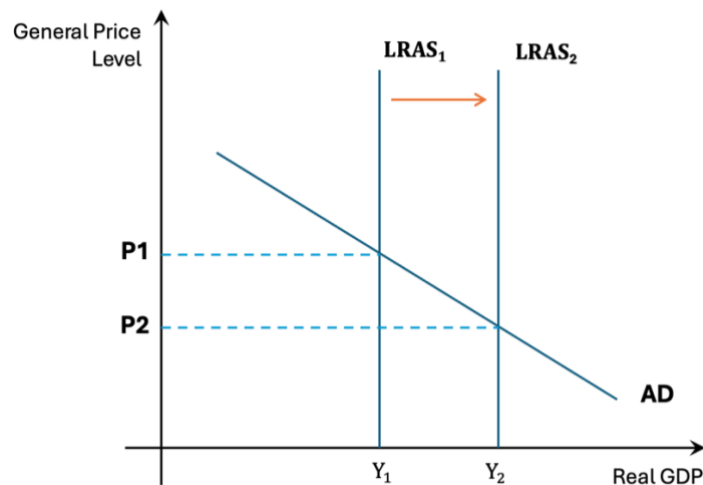
Figure 1: AD-AS Curve after interest rate cut



The AD curve shows real GDP in an economy at different price levels, consisting of consumption, investment, government spending, and net exports. When interest rates are reduced, households' and firms' borrowing costs decrease, stimulating consumption and investment. Figure 1 showcases an AD curve shifting rightwards from AD_1 to AD_2 with a rate cut, while short-run aggregate supply (SRAS) remains unchanged. Economic growth is illustrated by an increase in real GDP from Y_1 to Y_2 , along with the rise of the general price level from PL_1 to PL_2 , which results in inflation. However, since retail prices have slowed faster than expected, such a price level increase may not be detrimental to the economy. This is supported by the article, which states that inflation has fallen to 3.16%. This suggests that the central bank can stimulate demand without creating significant demand-pull inflation.

The RBI reduced the interest rate by half a per cent, the third consecutive cut, to stimulate consumption and investment in the economy. This expansionary monetary policy significantly lowers borrowing costs, making it cheaper to take out loans and home mortgages, especially for lower-income households compared to higher-income groups. Consumers with less wealth and income typically spend a higher percentage of their disposable income on necessities such as food, shelter, education, and health care than their higher-income counterparts. As a result, the impact of a half-percentage-point rate cut is far deeper for this income group, thereby improving the **economic well-being** of the general population in India.

Figure 2. Long Run Aggregate Supply in India



A half-percentage-point interest rate cut reverberates across industries, encouraging firms to develop more accessible, improved products that enhance the **economic well-being** of the entire society. Figure 2 illustrates a rightward shift in the long-run aggregate supply from LRAS₁ to LRAS₂ in the monetarist AD-AS model. When interest rates are reduced, the cost of financing R&D becomes more affordable for technology firms that focus on innovation and encourage economic expansion. Such innovations raise living standards within India and bring productive efficiency. The rightward shift of the LRAS curve leads to a decrease in the price level from P₁ to P₂, reflecting a long-run trend toward more affordable, higher-quality living driven by technological advancement and higher R&D spending.

Since India's GDP growth rate decreased from 9.2% to 6.5% between 2024 and 2025, the central bank needs to take action to reverse the trend. Cutting interest rates, along with an increase in the money supply, will make borrowing much cheaper, as the affordable housing market is still recovering from pandemic fallout. Housing costs are a key component in measuring an economy's **economic well-being**. It is usually one of the largest items on the spending list of normal households. With a lower interest rate, housing will become more affordable for households on a limited budget. However, the rate cut may not work as expected, as monetary policies operate with a significant time lag. Households and firms take a while to notice the rate change, reassess their financial needs, and then finally act on it. Therefore, the journey to the recovery of desired economic

growth may take longer than expected. Global factors such as resource prices or economic uncertainty could create hesitation among producers. The regular savers or people with high debt levels may not respond to the rate cut, clinging to their stubborn spending habits. The risk of over-borrowing or housing bubbles in India should not be neglected. The RBI might be forced to raise interest rates soon to keep inflation in check. It is necessary to keep a close eye on the inflation-growth dynamic.

As one of the largest economies in Asia, India trades with many different countries. The central bank's policy of lowering interest rates carries the risk that imported goods may become more expensive, which could erode some **economic well-being** among higher-income consumers, who regularly demand them.

In conclusion, cutting interest rates should stimulate GDP growth, lower unemployment, and increase household purchasing power in India, as improved future financial security and increased investment improve **economic well-being**, helping the government achieve its goal of economic growth. However, it must be recognised that consumers and firms, as independent decision-makers, will make economic choices that best suit their needs. The spending level is also largely dependent on domestic confidence levels. While this policy change may provide a short-term boost to India's growth, long-term success will depend more on increased spending and confidence in India's economy.

The Global Economy Commentary

Candidate number: 006318-0007

Article Title: US tariffs on India hit 50% as Donald Trump-Narendra Modi ties sour Article

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US tariffs on India hit 50% as Donald Trump-Narendra Modi ties sour

Additional levies over Russian oil purchases raise rates on New Delhi to among the highest in the world



Prime Minister Narendra Modi and President Donald Trump at the White House in February

Andres Schipani in New Delhi, Aime Williams in Washington and Chris Kay in Bengaluru

Published: Aug 27 2025 Updated: Aug 27 2025, 14:48

The US has slapped punitive tariffs on India over its purchases of discounted Russian oil, dealing a blow to the world's fastest-growing large economy and deepening a rift between Washington and New Delhi.

The 25 per cent levy, which came on top of a 25 per cent “reciprocal” tariff, took effect at 12.01am US eastern time on Wednesday and raised duties on India to among the highest in the world.

President Donald Trump's announcement this month that the US would double its tariff rate on India marked a sudden escalation of tensions after the two sides failed to reach a breakthrough in trade talks.

Alyssa Ayres, a former state department official now at George Washington University, called the deterioration in the US-India relationship “head-spinning”.

Indian analysts said Trump's move was partly aimed at putting pressure on Russian President Vladimir Putin to end his war in Ukraine. But despite the threat of higher tariffs, India has continued to buy Russian crude, albeit at lower levels.

“Trump is trying to get at Putin and India is a soft target to do so,” said Ashok Malik, chair of The Asia Group's India practice and a former foreign ministry policy adviser. The Global Trade Research Initiative, a New Delhi-based think-tank, predicted that Indian exports to the US, the country's largest trading partner, could fall from \$86.5bn this year to about \$50bn in 2026.

It said textiles, gems, jewellery, shrimp and carpets would be worst affected, with the sectors bracing for a 70 per cent collapse in exports, “endangering hundreds of thousands of jobs”.

Standard Chartered has forecast that the tariffs could knock as much as 1 percentage point off India's GDP growth.

But Anubhuti Sahay, the bank's head of India economic research, noted that New Delhi's domestically focused economy was less exposed than more export-oriented Asian peers.

Semiconductors, consumer electronics and pharmaceuticals will be covered by separate, sector-specific US tariffs. But India is now among the worst-hit countries of Trump's tariff war, with

overall duties on a par with Brazil's and higher than those of China, whose rates are still being negotiated.

"I think India could survive 25 per cent . . . but 50 per cent is a completely different scenario," said Mark Linscott, a former US trade negotiator who now advises US and Indian businesses.

Talks had stalled in part over New Delhi's resistance to opening up the country's vast agricultural and dairy sectors, over which Prime Minister Narendra Modi has vowed to "never compromise". US trade negotiators called off a planned trip to New Delhi this week.

Indian government officials have made overtures to Russia and China, with Modi set to make his first visit to the latter country in seven years this weekend. Foreign minister Subrahmanyam Jaishankar last week encouraged Russian companies to engage "more intensively" with India.

Some Indian officials and analysts believe the stalemate partly reflects a cooling of personal ties between Modi and Trump, who has threatened Apple for shifting some manufacturing to India, mocked the country's "dead economy" and courted its biggest rival Pakistan.

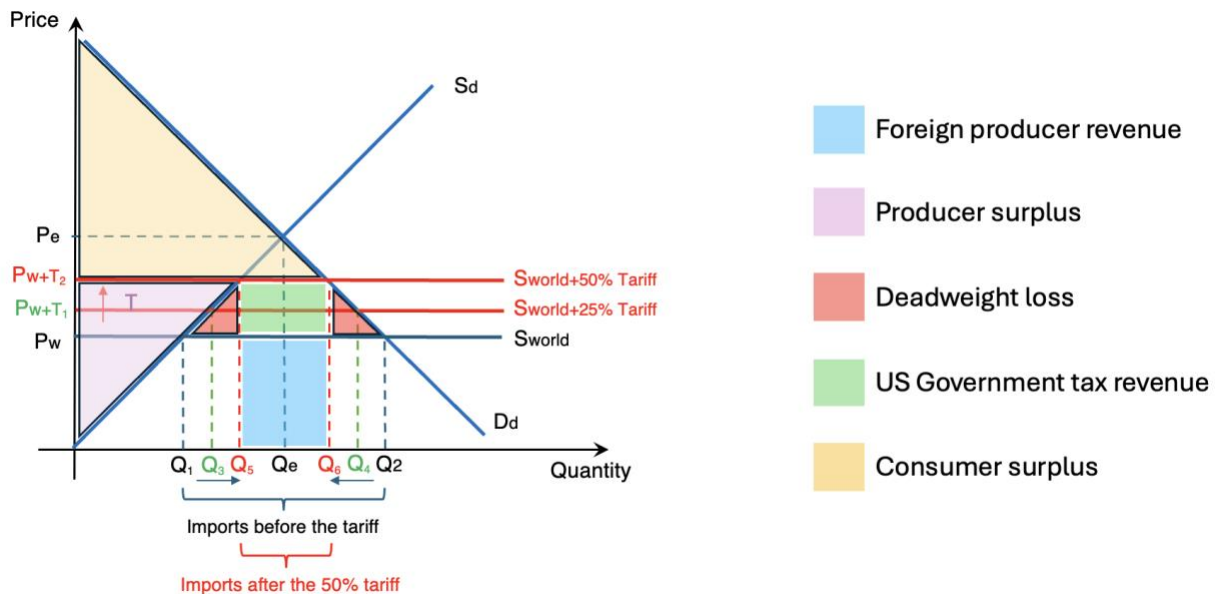
According to three people briefed on the matter, Modi did not communicate with Trump in the run-up to the tariff deadline, as he was concerned that the US president could try to squeeze in last-minute concessions. Modi's office did not respond to a request for comment.

Linscott also pointed to the collapse in communication between Trump and Modi. "The missing component was the leader-to-leader conversation, and the opportunity for the president to seal the deal, to put his stamp of approval on it," he said.

Commentary 3:

A punitive 25% tariff was added onto the existing reciprocal 25% tariff on Indian goods exported to the US, as India was penalised for purchasing discounted Russian oil. India's exports to the US could fall from \$86.5bn to \$50bn. As a protectionist measure, a tariff destroys allocative **efficiency** by raising the prices of Indian goods, such as textiles, gems, and shrimp, in the US market, worsening India's balance of trade and slowing its economic growth rate.

Figure 1. Tariff Increase Effects on the US market

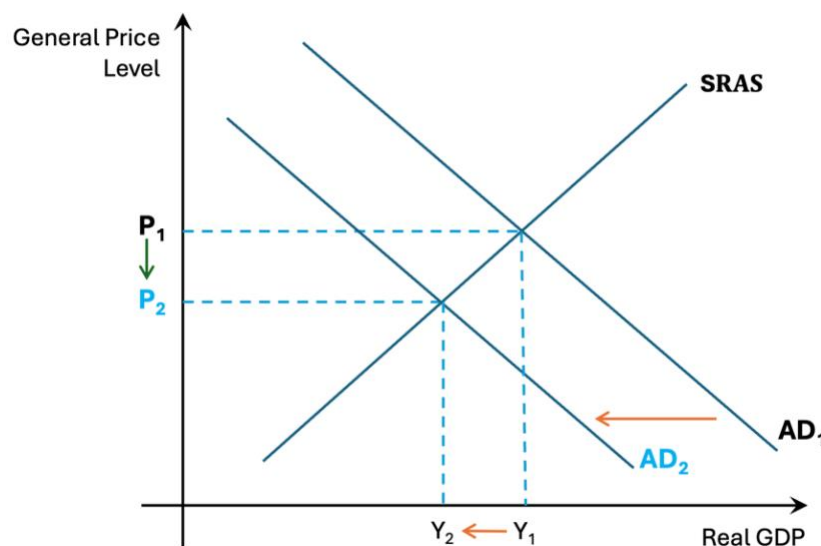


Tariffs increase the price that importers and consumers must pay. Figure 1 showcases how the existing 25% tariff, compounded by the newly added 25% tariff, affects the US market price level. In a free market, price level sits at S_{world} , where resources are allocated efficiently with US domestic producers supplying up to Q_1 , imports make up the $Q_2 - Q_1$ gap. The reciprocal 25% tariff raised the US price level to $P_w + T_1$, allowing inefficient producers to participate in the market, expanding producer surplus and the quantity supplied to Q_3 . The 25% tariff on Indian goods raised prices to $P_w + T_2$, further burdening consumers by introducing additional inefficiency into the market. Import volumes continued to contract to $Q_6 - Q_5$. The loss of consumer surplus is now redistributed into three areas: tariff revenue, deadweight loss, and producer surplus. India's export revenue declines as a result.

US domestic producers gain from this tariff by capturing more market share at the cost of lower **efficiency**, since the price of Indian imports is now high enough to cover all production costs, despite being less efficient than their Indian counterparts overseas. This is a loss of **efficiency** as inefficient producers replace efficient ones overseas. The more efficient Indian industries, such as textiles, gems, jewellery, and shrimp, now face a 70% collapse in exports due to the 50% tariff, resulting in lost sales. The decline in total social welfare is indicated by deadweight loss, as more products are produced inefficiently and resources are misallocated globally. US consumers now face a much higher price due to a 50% tariff, which puts stress on household spending, leading to higher opportunity costs and lower living standards.

The US government benefits from increased tariff revenue, which may help reduce the budget deficit, and inefficient domestic producers now enter the market due to the loss of market **efficiency**.

Figure 2. Tariff increase on India's economy



Tariffs are a double-edged sword that hurt India's economy by reducing export revenue from \$86.5bn to \$50bn, as the article indicates. As a component of AD, falling export revenue is likely to cause the Aggregate Demand curve to shift to the left from AD_1 to AD_2 , as illustrated in Figure 2. Real GDP shrinks from Y_1 to Y_2 while the general price level falls from P_1 to P_2 , creating a recessionary gap. As

predicted by Standard Chartered, this tariff could knock off as much as 1 percentage point of India's GDP growth rate. Firms previously producing more efficiently than their US counterparts will be forced to scale back or exit the market, depending on the opportunity cost of their capital.

Heightened cyclical unemployment in export-reliant industries accompanies this recessionary gap as sales dwindle and people lose jobs. Hundreds of thousands of jobs are at risk in industries such as textiles and carpeting. This sector is the most heavily hit, as immediate income loss could force households to cut back on essentials such as education or health care, leading to social welfare loss due to inefficient resource allocation.

However, as New Delhi's domestically focused economy was less exposed than more export-oriented Asian peers, the economy could provide a buffer, for the economy has strong domestic consumption, which could still drive GDP and uphold its current AD level, which means the leftward AD shift in Figure 2 would not be as severe. The magnitude of the impact from the tariff might not achieve the political objective it sets out to accomplish.

India is actively seeking opportunities to strengthen trade ties with China and Russia as Modi plans to visit China for the first time in seven years. Modi's foreign minister openly encouraged Russian companies to engage "more intensively" with India. If India is successful in redirecting exports to markets other than the US, the severity of the AD curve's decline might be much less than depicted in Figure 2 above. But with the US being India's largest trading partner, accounting for \$86.5bn in export revenue, the redirect process cannot happen overnight. In the short term, India still faces pressure from rising unemployment in these sectors. It is, however, possible for India to start planning for alternative markets in the long run.

In conclusion, global trade has tied countries together, enabling greater **efficiency** in resource allocation and production. Open communication is the foundation of any trade agreement. Protectionist approaches take away the **efficiency**.

